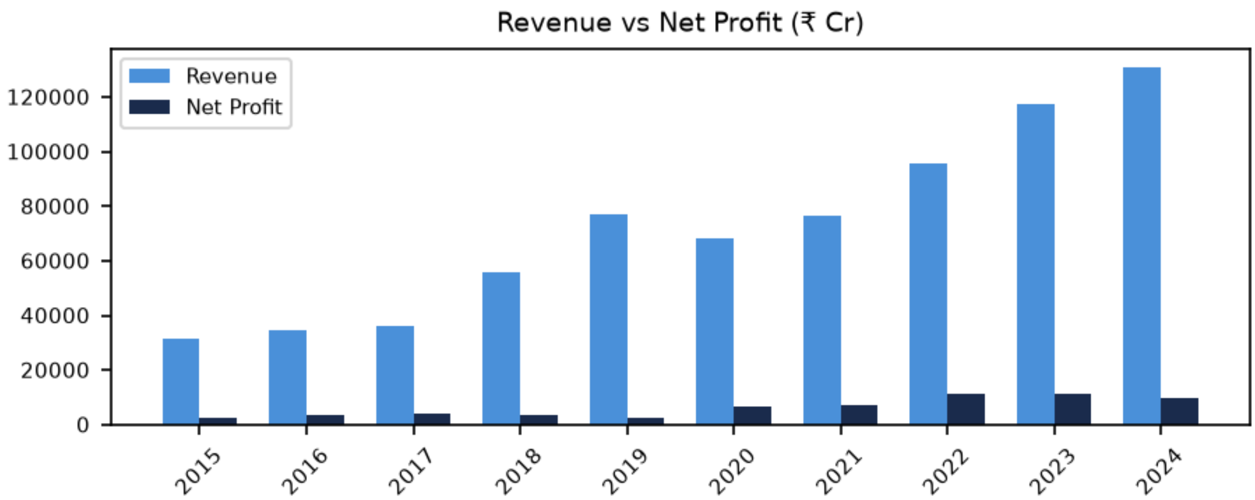
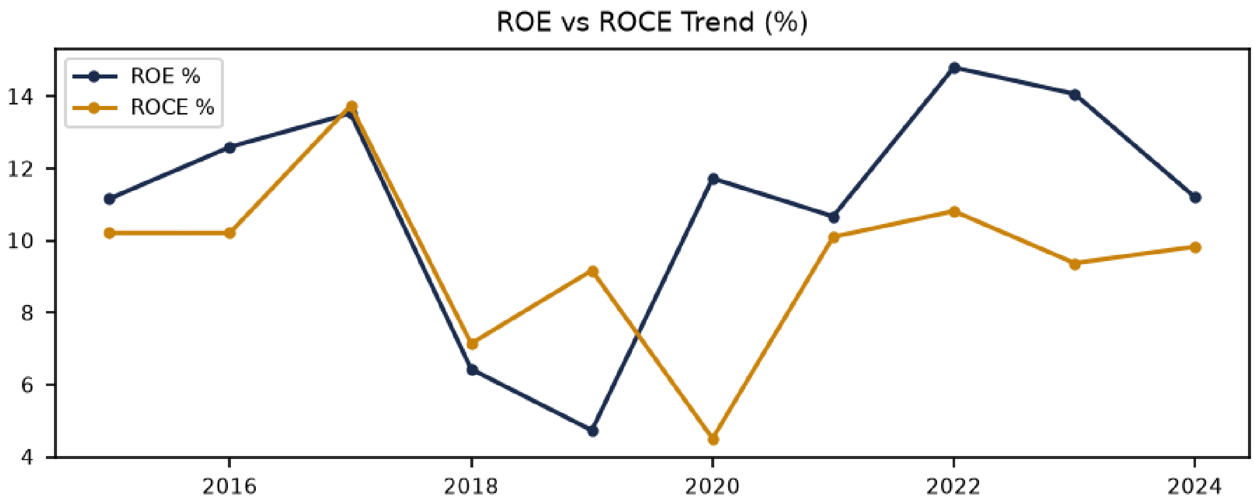
Grasim Industries Ltd

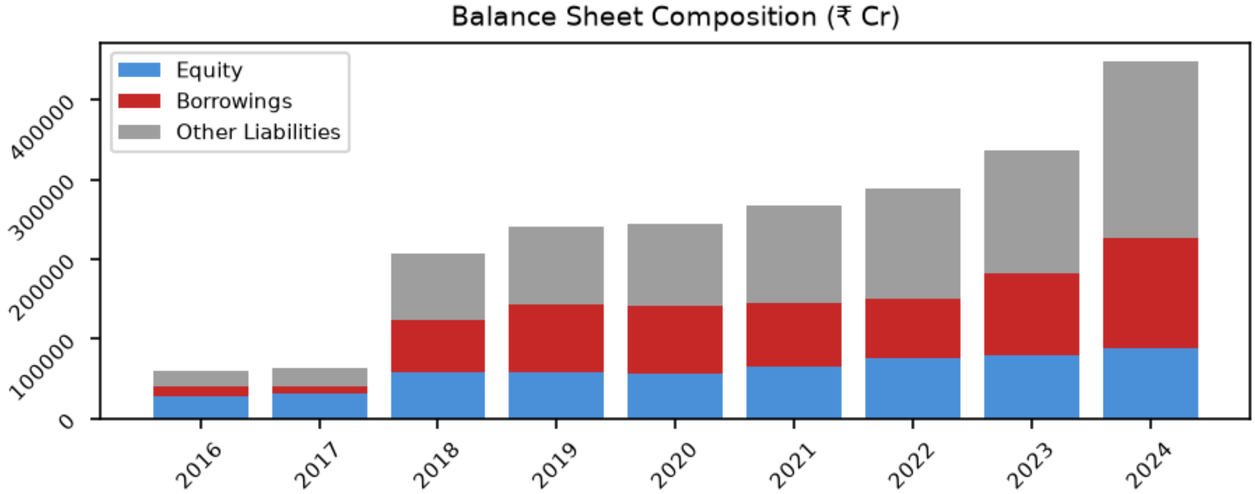
GRASIM · Industrials

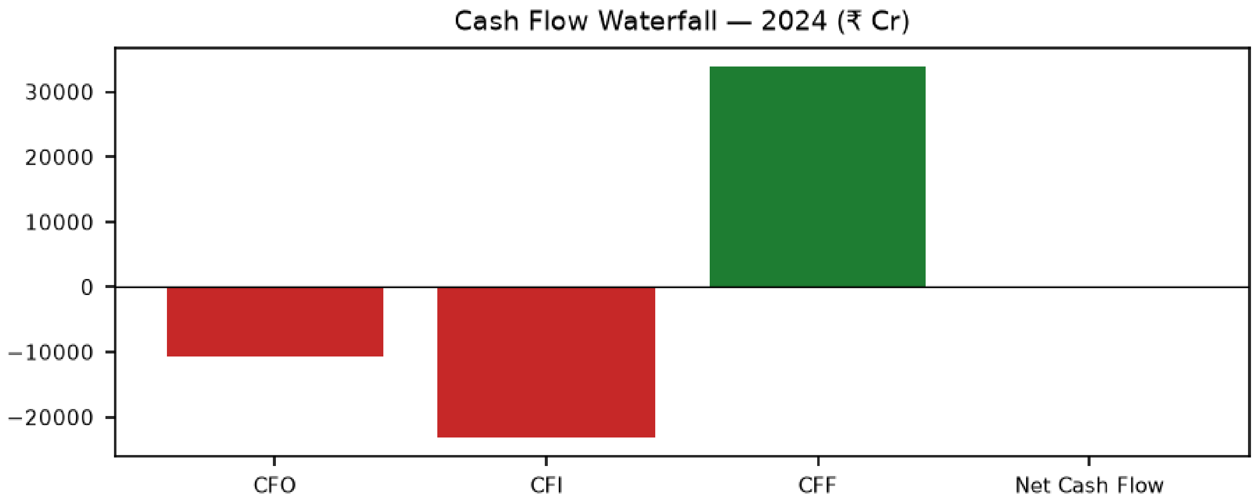
ROE	ROCE	Net Profit Margin
11.2%	9.8%	7.6%

Debt-to-Equity	Revenue CAGR (5yr)	Free Cash Flow
1.55	11.2%	■-33,833 Cr









Pros	***Cons***
✓ Revenue growing slower than profits shows improving operating leverage and scale benefits	✗ Earnings per share declining for 3 consecutive years reflects deteriorating profitability
✓ Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding	✗ Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk
✓ Net profit compounding at above 20% over 5 years creates significant shareholder value	✗ Gross debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
	✗ Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital

Capital Allocation: Distress